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FROM INSTANT NOODLES and potato chips to shaving creams and body lotions, packaged consumer goods have brought unprecedented convenience to our daily lives over the past few decades. While the variety and choice of new products on offer have increased manifold, for the average consumer hardly anything has changed in their favourite products. But if you look closely enough, even for the humble pack of wafers or body lotion, everything from how its raw material is procured to how it is produced, packaged and delivered has undergone a sea change.

The reason for that is the various digital-led processes that manufacturers are rapidly adopting across their myriad operations. While leading industry players have deployed resources for years to digitise their sales and distribution channels, this time around, the use of digital tools has encompassed all key elements of their business—from sourcing of raw materials to supply chain and inventory management to manufacturing lines, consumer insights and product development. The impact of this digital push—on the country's ₹10.4-lakh crore fast-moving consumer goods (FMCG) market—is prominently visible in the rapidly evolving ways in which FMCG players conduct critical tasks such as gauging a customer's moods, researching a new product, improving supply chain efficiencies or delivering the products to your doorstep.

For instance, American food giant Kellogg's local unit, which has been in India for nearly three decades, initiated a digital transformation programme some three years ago. According to Prashant Peres, MD for South Asia at Kellogg, in the first leg of its project, the

company digitised its communication processes that helped it keep the business running during the first Covid-19 wave. Motivated by that, it has deployed the programme to transform its supply chain, product development and go-to-market strategy as well. "Based on the principle of 'customised off-the-shelf' strategy, we decided to customise our products based on specific consumer needs instead of trying to invent products on our own every time," he says. Following this, they have also moved to digitise their distribution management system in partnership with Ivy Mobility, a consumer goods tech-solutions provider.

Peres says that the next phase came in descriptive analytics and creating a dashboard that helps them identify potential micro-markets through analysis of sales data. Additionally, it has adopted an app called "Parinam" for its frontline salespeople to accurately measure their sales performance. This has led to happier customers. Data analytics, coupled with an integrated business planning system, helps it forecast demand at the shopper level with 95 per cent accuracy. "Since we started, it has improved by three times," he says.

Kellogg is not alone. At the country's top FMCG firms—from Hindustan Unilever (HUL) and ITC to Nestlé India, Dabur and Marico—digital transformation has been at the core of their success in recent times. Sanjiv Mehta, CEO and MD of HUL, concurs, adding that earlier FMCG companies used to procure raw materials at scale to keep the costs down. "But now, we are... creating ecosystems involving consumers and operations, where data and tech are taking centre stage," he says. According to Mehta, digital transformation will be a key factor in building the "HUL of tomorrow".

To that end, HUL began with digitalising its go-to-market strategy by developing a mobile app called "Shikhar" for its retailers that had 100,000 *kirana* stores till early-2020 and currently has around 700,000 stores. So, even when salespeople do not visit the stores, retailers can place their orders via the app. HUL has also implemented high levels of automation at its fulfilment centres to cater to the retailers in real time. Further, it has tied up with State Bank of India to ensure that retailers get paperless credits through the app. Not only that, Mehta harks back to the time when most of the market research was done physically. And then, R&D teams would create prototypes, test them and conduct dry runs based on those insights. But now, all of that is done through simulations, Mehta says, adding: "The entire